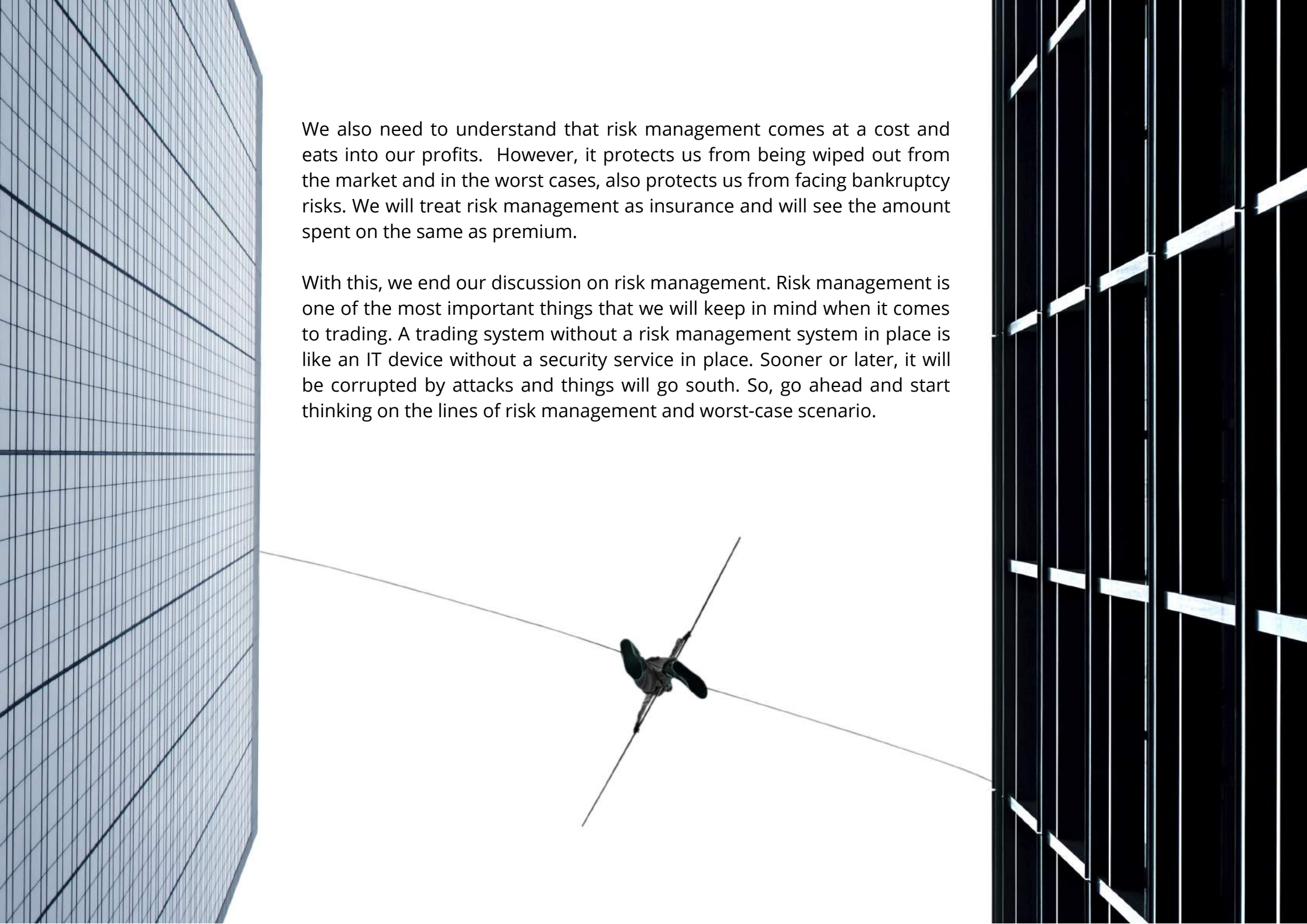




We also need to understand that risk management comes at a cost and eats into our profits. However, it protects us from being wiped out from the market and in the worst cases, also protects us from facing bankruptcy risks. We will treat risk management as insurance and will see the amount spent on the same as premium.

With this, we end our discussion on risk management. Risk management is one of the most important things that we will keep in mind when it comes to trading. A trading system without a risk management system in place is like an IT device without a security service in place. Sooner or later, it will be corrupted by attacks and things will go south. So, go ahead and start thinking on the lines of risk management and worst-case scenario.